

AROUND THE ELLIOT WAVE IN 80 WAYS

1. As a rule minimum destination of a starting wave will be 38.2% as compared to the previous important high. Although if it doesn't reach 61.8% (also known as Golden Ratio), then it is not a wave development. **(Rule #1, P)**.
2. Wave 2 doesn't go beyond 81.2 % because we never find water beyond 81.2 feet beneath the earth. It can be minimum 14% though. The time it may take can be maximum 2x times of wave 1, if it is taking more time than that, then it is not wave 2. **(Rule #2, P/T)**
3. Wave 3rd = Min 161.8% in an ideal case and max that has been witnessed has been 2100% because it is in the nature of air. **(Rule # 3, P)**
4. Wave 4th is min 14% and max 50%, it is rarely 61.8%(in case of an ending diagonal), **(Rule #4, P)**.
5. If we apply retracement from Wave 3 to Wave 4th, then Wave 5 is min 127% and Max. 261.8% **(Rule #5, P)**.
6. **Rule of Alternation**, that is, the fall of Wave 2nd and Wave 4th will be similar approx. +/- 5% usually or at max 6-7% but not beyond 8% in any case . The time period of each fall may be **double or triple** of each other or in other words may be **half or one-third**. It can at max. be **four times or one-fourth** but not beyond/less than that. *This is the most important aspect when counting in Elliot Wave.* **(Rule #6, P/T)**
7. Rule of Overlapping, which is an extension of above rule in which overlapping can happen in terms of time by 3-4 candles depending upon which timeframe which we are reading the charts. Prices as discussed above can overlap by approx. 2-5% generally.**(Rule #7, T)**
8. During a trending impulse, Wave -3 should be min. 161.8%, that is, an ideal case...beyond 161.8% is considered to be extension. **(Rule #8, P)**
9. Wave 4th should never enter the territory of Wave 1st in case of a trending impulse. **(Rule #9, P)**
10. In case of a terminal impulse, Wave 3 should not/does not touch 161.8%, although it may go up till there. **(Rule#10, P)**
11. Wave 4 can enter territory of wave 1 in case of a terminal impulse. **(Rule # 11, P)**
12. Rule of Equality, any two impulse waves, that is out of 1,3,5 are equal price wise and time wise, with the fact being that Wave 3 can never be the smallest. *Second most important rule after rule of alternation.***(Rule # 12, P/T)**
13. **Rule of Alternation** is always our first priority, even before Rule of Equality.
14. Alternation can double in case of index but not triple (pricewise).
15. If Equality comes before 161.8%, we should EXIT, thereby giving priority to Rule of Equality. **(Rule #13,P)**
16. In case of Wave 5, we have two options, that is, we measure the equality of Wave 1 and Wave 3 (copy & paste), it will fulfil one of them with minimum 127% target as our first priority. **(Rule # 14, P)**
17. **Degree Fall** is always greater than the subordinate fall. **(Rule #15,P)**
18. **Wave 5th can be truncated** only if Wave 3rd is in extension and Wave 4th comes to 50%. In that case, Wave 5th will not be able to break the high of Wave 3rd. Also Wave 5th can be truncated only in Forex and Commodity.
19. **Wave 4 can never give closing below 61.8%**, even in case of a terminal impulse as well. **(Rule #16, P)**
20. **If Wave 1 and Wave 3 both are in extension, Wave 5th will never be in extension.** **(Rule #17,P)**
21. Any one or two of the waves can go in extension **(Guideline A, P)**.
22. If Wave 1 and Wave 2 are microscopic in nature, then Wave 3 will be in extension. Also Wave 4th will be complex in nature and it can be 5 times that of Wave 2nd. **(Rule #18, P)**.
23. Wave 1 and Wave 5th both will never be in extension simultaneously **(Rule # 19, P)**.
24. If Wave 1 is extension, its fall is rarely 61.8%. **(Rule # 20)**
25. Wave 3 and Wave 5 both can be in extension. **(Rule #21)**
26. There can be a maximum of 5 subordinate falls in an extension. **(Guideline B)**
27. Wave 4th can retrace max by 38.2% in case Wave 3 is in extension. **(Rule # 22, P)**
28. If Wave 4th is complex in nature, then Wave 5th will be sharp. **(Rule #24, P)**

29. In case of any impulse (1 or 3 or 5) being in extension, then correction will be complex in nature and will be max 38.2% only. **(Guideline C, P)**
30. In case of microscopic waves, there can only be 3-5 candles on a daily TF **(Guideline D, T)**.
31. Wave 2nd will never take thrice the time taken by Wave 1 in any case whatsoever. It can take twice its time though, with the least possibility being that being of one fourth. **(Rule #25,T)**
32. In case of Trending Impulse, Wave 1 and Wave 3 will take the same amount of time but in case of a terminal impulse Wave 3 may take double the time of Wave 1. **(Rule #26, T)**
33. If Wave 1 is in extension, then Wave 3 will be short (mostly) and will be terminal in nature & can go upto 161.8% but not touch it. **(Guideline E, P)**
34. Wave 4 may come in the territory of Wave 1 or may not. **(Guideline F, P)**
35. If Wave 1 goes above 61.8%, then it is expected to go in extension. **(Guideline G, P)**
36. **Wave 3 if terminal in nature can take max twice the time of Wave 1. (Rule #27, T)**
37. Only one of the two Diagonals of the two will be formed, either Leading Diagonal (formed in Wave 1) or Ending Diagonal (formed in Wave 5). Both will never get formed simultaneously. **(Rule #28, T/P)**
38. In case of a Leading Diagonal, Correction should get over in half time of Wave 1 (max) and min is one fourth. **(Rule # 29, T)**
39. In case of a leading diagonal, fall comes to 81.2% (max) in Wave 4, or till bottom of Wave -2. If it comes to point zero, then it is the invalidation point. Timing is 1/4th (min) and ½ (Max). **(Rule #30, T/P)**
40. In case of an ending diagonal, first target is the bottom of Wave 1, second target is bottom of Wave 2, and finally 81.2% of the entire move from 0 to Wave 5. **(Rule # 31, P)**
41. In case of an ending diagonal, wave 3rd should never touch 161.8%. Wave 4 can enter territory of Wave 1, but can never be parallel to it. **(Rule # 32, P)**
42. In case of microscopic Wave1 and Wave 2, Wave 3 will be in extension and Wave 4 can take 5 times that of Wave 3. **(Rule # 33,P/T)**
43. **How to Apply Trendline and interpret?** Draw trendline of 0-2, copy and paste it on 1, if the 3rd Wave breaks inside the lower trendline, then it will fall in Wave 4. It can break the outside the upper trendline (or channel) but not the lower one. **(Rule # 34, P)**
44. If the price is in a channel, it moves slowly, but when it breaks the the channel above, then it will move above with double speed. **(Guideline H, P)**
45. We can find maximum 5 subordinates (Of correction) as equal as per the rule of alternation in one degree. **(Rule #35, P)**
46. Wave 4 can enter into the channel drawn between 0-2 trendline (baseline) and the parallel trendline above or below the base trendline. Henceforth, the trendline connecting Wave 2 and Wave 4 is known as **“Maturity Trendline”**.**(Rule #36, P)**
47. Time taken by Wv-4 to Wv-5 if the price falls in the same time frame, then the entire pattern gets confirmed which is also known as **Wave Completion**. **(Rule #37,T)**
48. If it is taking more time, then it's a buying opportunity. **(Rule # 38,T)**
49. And If it takes less time, then it creates a panic, it being a sell indicator. **(Rule # 39,T)**
50. If the fall from Wv-4 to Wv-5 takes half the time to break the 2-4 trend line, then it is considered to be a **“reversal”** which we prioritize over pattern confirmation. If both pattern confirmation and reversal happen simultaneously, then it is **“PANIC”**. Although first reversal is confirmed, and then pattern **(Rule #40, T)**
51. Time Period will never be similar of the two falls , it can be half, can be double, triple, quadruple or even more

but
never
can be
more
than 5
times

Why is Zig Zag Correction Different from others?

That's because it is impulsive in nature and follows all the Rules and Guidelines of an impulse. It is very rare in nature and is “Quite Dangerous”. For example, the Covid-19 fall in 2020.

or 1/5th of each other's time. **(Rule #41,T)**

52. During the Zig-Zag correction A can fall max 61.8% in a single move and it's a vertical fall in speed. Min will be 38.2%. **(Rule #42, P/T)**
53. **Wave – B of Zig-Zag....**if retracement is applied from 0 to A (top to bottom), Wv-B can come to 50% and max 61.8% but cannot touch it. It normally comes to 38.2% in most cases. **(Rule # 43, P/T)**
54. **Wave C of Zig Zag...**Extension is applied from 0 to A and then A to B. it is similar to how we apply in case of third wave, hence it will come minimum to 61.8% and max 161.8%. **(Rule # 44, P)**
55. B can take time equal to that of A, or can take max 5 times that of A. **(Guideline I, T)**
56. C can be equal to A, or $C = (A+B)/2$ timewise **(Guideline K, T)**
57. C-failure hardly happens but it happens if it reverses and breaks the 0 to B trendline in half time that it took for B to C. **(Guideline L, T)**
58. In case of truncated zig-zag, the trend reversal comes to 81.2% that it takes from B to C. **(Guideline M,P/T)**
59. In case of a Timewise or Flat Correction, B being minimum 61.8% and maximum 111%(exceptional though), however it may go up to 126% in rarest of rare case. Timing remains same as in Zig-Zag.**(Rule #45, P)**
60. A= Min 14% of its last leg, but usually ranges between 23.6%-38.2%. It can be max 61.8% as well but not more than that in case of Flat Correction. **(Rule # 46,P)**
61. C normally ranges between 61.8% to 161.8%. **(Rule # 47, P)**
62. C ranges b/w 161.8% - 261.8% in case of elongated flat correction. **(Rule # 48, P)**
63. C doesn't reach 61.8% even, in case of truncated Flat Correction. **(Rule # 49, P)**
64. B is 100% to 111% of A in case of an Irregular Flat Correction. **(Rule # 50,P)**
65. **Irregular Running Flat Correction....**In this case C crosses 61.8%, but never goes upto 261.8%, it will go max upto 161.8% only. **(Rule # 51,P)**
66. In case of Double Correction, **Small X** will be min 14% and max 61.8%. **(Rule #52, P)**
67. In case of Double Correction, **Large X** will be min 61.8% and max 111%. **(Rule #53, P)**
68. After the formation of ZigZag, the X formed never goes to 61.8%, it is always a small X. **(Rule #54,P)**
69. After a ZigZag Correction, chances of a flat correction are very less. **(Guideline N, T/P)**
70. Zig Zag never comes after Flat Correction or Triangle Correction. **(Rule #54, P/T)**
71. X and Y both can come in a single move as well. Normally it comes in 7 or 11 moves. Also comes in 3 moves. **(Guideline O, P/T)**
72. Y can come to min 61.8% and max 161.8%. **(Rule # 55, P)**
73. Y can also be formed in a Double or Triple Correction itself **(Guideline P)**
74. Min destination of Z is 61.8% & max is 161.8%. It will never be elongated. **(Rule # 56, P)**
75. Trend reversal is considered of 0 to X trendline is broken within half time taken from X to Y. **(Guideline Q, T)**
76. Y and Z can be truncated or equal but not elongated. **(Guideline R, P)**
77. Triple Correction is most common and can happen anywhere , that is, Wave 2, Wave 4 or Wave B **(Guideline S, P/T)**
78. XX should never cross X, else the correction will be considered over. **(Rule #57, P/T)**
79. Another type of correction is there in the market, which is rarest of rare, that is, Triple Zig Zag. **(Small X, Guideline T)**